

The man was in his early thirties, and had never invested in the stock market before. I was a bit annoyed with him, but soon more amused than annoyed. The people who had sought my advice on the IPO had some basic knowledge about shares and the stock market, and were occasional investors in the market, getting lucky once in a while. But here was a person who had not the foggiest idea about the stock market, eager to invest a decent chunk of his savings in what appeared to be a risky bet.

‘But why do you want to invest in Reliance Power?’ I asked him.

‘Because my friends tell me that I will be able to double my money in less than a month,’ he replied.

I was tempted to tell him to get lost and instead try the racecourse, the matka bazaar, or, for that matter, any of the Ponzi deposit schemes, which promised fantastic returns in a short time. Bina could almost read my thoughts, and looked at me pleadingly not to be rude to the man. I relented. After all, he was her teacher, even if only till the end of the driving course next month.

I saw little point in talking this man out of his dream. There was a possibility that he would make decent returns on listing day, but I thought it highly unlikely that his investment would double. I promised to put him in touch with a sub-broker friend of mine who would guide him through the process. That was enough to make him happy.

Until that point, I had been thinking of putting some money in the IPO myself. But looking at the madness around me, I wondered if it would be a good idea. I had little doubt that the issue would be priced at the upper end (Rs 450) because of the phenomenal demand for the shares from all classes of investors. I decided to invest in the IPO, but not with borrowed funds, as that would raise my break even point so high that the probability of losses would be greater.

The IPO signs were ominous. A day before the issue opened for subscription, the Sensex tumbled 100 points. The Nifty, however, inched up 6 points, masking the nervousness in the market. Some pressure was expected, given the sheer size of the issue. Many investors would be liquidating positions in other stocks and using that money to apply for Reliance Power shares.

The issue was sold out within the first minute of its opening on 15 January, a record for an offering of that size. By the end of the day, the issue was subscribed nearly ten times. Even as money was pouring into it, the